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NEWTON AC/DC FUND L.P., PATAGON MANAGEMENT, LLC
SCALLION TRADING LTD.

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF CALIFORNIA

Newton AC/DC Fund, L.P., Patagon
Management LLC, and Scallion Trading Ltd.,
on behalf of all other similarly situated
Plaintiffs,

Plaintiffs,
v.

Maxim Ermilov,

Defendant,

and

Circle Internet Financial, LLC,

Relief Defendant.

COMPLAINT

JURY TRIAL DEMANDED

Civil Action No. _____

Plaintiffs Newton AC/DC Fund, L.P. (the “Fund”), Patagon Management LLC (“Patagon”), Scallion Trading Ltd. (“Scallion,” and together with the Fund and Patagon, the “Named Plaintiffs”), individually and on behalf of all other similarly situated class members, by way of Complaint against Maxim Ermilov, alleges as follows:

NATURE OF THE ACTION

1. This dispute arises from Ermilov’s breach of an agreement with investors. Pursuant to this agreement, Ermilov sold cryptocurrency tokens in exchange for the right to

3. Ermilov's theft has harmed the Named Plaintiffs, who together hold approximately 55,000 OVN tokens, as well as a class of plaintiffs who own more than 91% of the outstanding OVN tokens. As the owners of those tokens, Ermilov promised Plaintiffs a pro rata share of control over digital assets worth more than \$15 million. Instead, however, Ermilov has kept the money for himself and given zero to the investors.

PARTIES

6. Patagon is a Delaware limited liability company, with a principal place of business in New York.

8. The proposed Class consists of all people and entities who currently hold OVN cryptocurrency tokens, excluding Ermilov and any of his co-conspirators yet to be discovered. There are likely hundreds of people and entities within this Class definition. Over 20,000 cryptocurrency wallets hold OVN tokens on one blockchain alone.

1 9. Upon information and belief, Ermilov is a Russian national who resided in Russia
2 as recently as late 2021 and has claimed on social media to reside in Abu Dhabi, United Arab
3 Emirates.

4 10. Circle is a Delaware limited liability company with a principal place of business
5 in Massachusetts. Upon information and belief, its sole member is a Delaware corporation
6 whose principal place of business is in New York.
7

8 **JURISDICTION AND VENUE**

9 11. The Court has subject matter jurisdiction pursuant to 28 U.S.C. § 1332(d)(2)(C)
10 because at least one class member is a citizen of a State and the defendant is a foreign resident
11 and the amount in controversy exceeds \$5 million.

12 12. The Court has personal jurisdiction over Ermilov because he transacted business
13 and maintained substantial contacts in the Northern District of California. Further, Ermilov's
14 actions were directed at, and had the intended effect of, causing injury to persons residing in,
15 located in, or doing business throughout the United States, including the Northern District of
16 California.
17

18 13. The Court has personal jurisdiction over Circle because it is a necessary party to
19 be joined pursuant to Fed. R. Civ. P. 19(a)(1)(A) and will be served with a summons pursuant
20 to Fed. R. Civ. P. 4(k)(1)(B).
21

22 14. Venue is proper pursuant to 28 U.S.C. § 1391(b) and (c) because Ermilov is
23 deemed to reside in any judicial district in which he is subject to the Court's personal
24 jurisdiction.

25 **FACTUAL ALLEGATIONS**

26 **I. Ermilov Created Cryptocurrencies**

27 15. This dispute concerns cryptocurrencies Ermilov created.
28

1 16. Unlike traditional assets, cryptocurrency tokens are not controlled by any
2 financial institution or government, and there are no physical tokens. Rather, cryptocurrency
3 tokens exist on a publicly available ledger known as a blockchain that provides an immutable
4 record of every transaction to have ever taken place with that type of token. The records
5 contained on the blockchain provide verification of the amount of tokens each user is entitled
6 to, as well as their transactions with other users.

7
8 17. Holders of tokens can transmit their tokens electronically by sharing public
9 addresses on the blockchain. These addresses, also called wallets, are represented by a string
10 of numbers and letters (e.g., 0x1e0cc1f86df03B435E92f852DD675AD35659D7C1) and can be
11 loosely thought of as a bank account. Unlike traditional bank accounts, however, all
12 transactions to and from a given wallet can be viewed on the public blockchain.

13
14 18. Just like cash can be kept in a purse, a home safe, or in a bank vault,
15 cryptocurrency can be kept in different types of wallets.

16 **II. Ermilov Created a Cryptocurrency Called USD+ and He Created OVN**

17 19. Ermilov created a cryptocurrency platform called Overnight Finance. This
18 platform allowed users to invest in various cryptocurrencies in a manner similar to buying shares
19 in a money market mutual fund.

20 20. Ermilov solicited investments by selling a type of cryptocurrency called a
21 stablecoin. Stablecoins are cryptocurrency tokens that are designed to have a stable value
22 because they can always be redeemed for an underlying asset. The potential for on demand
23 redemption keeps the value of the stablecoin steady at the value of the underlying asset.

24 21. The stablecoin Ermilov sold was called USD+. He sold USD+ tokens for the
25 price of one USDC token each. USDC is another stablecoin issued by Circle and its value is
26 kept at one dollar since Circle allows users to redeem USDC tokens for U.S. dollars. Ermilov
27
28

1 promised that, while USD+ was a stablecoin whose value would stay constant at one dollar, that
2 users who held USD+ tokens would receive investment returns similar to interest.

3 22. Ermilov invested the USDC tokens users provided to purchase USD+ tokens and
4 profits exceeding \$15 million. Ermilov kept those proceeds in several wallets that he publicly
5 disclosed (collectively, the “Treasury”). He used Treasury assets to pay the returns he promised
6 to USD+ tokenholders, and he also commingled his own funds with Treasury assets.
7

8 **III. Ermilov Marketed and Sold OVN Tokens With The Express Promise that Tokens**
9 **Conferred Ownership of the Treasury**

10 23. Ermilov also created OVN, another cryptocurrency. Unlike USD+ tokens, OVN
11 tokens themselves could not be automatically redeemed for USDC tokens and did not generate
12 the same investment returns as USD+ tokens.

13 24. Ermilov promoted and sold OVN tokens by expressly promising that purchasers
14 would obtain rights to a distribution of profits held in the Treasury. In particular, he promised
15 that OVN tokens were “governance” tokens that conferred upon purchasers the right to vote on
16 what to do with Treasury assets.
17

18 25. On November 6, 2024, Ermilov wrote on Discord that, “you can buy 51% of
19 OVNs and vote to have [the Treasury] distributed.”

20 26. Ermilov made other statements consistent with the representation that OVN
21 tokens were worth a share of the Treasury. For example, on April 10, 2024, he wrote,
22 “Sustainable growth of [the Treasury] is the only way for us to keep growing OVN price,”
23 meaning that growth in the Treasury was correlated with a corresponding increase in the price
24 of OVN tokens.
25

26 27. Ermilov was also clear what assets were included in the Treasury. He referred to
27 those assets as “POL” or “protocol owned liquidity.” This refers in the cryptocurrency industry
28 to the assets a cryptocurrency platform holds for use in transactions with users, including for

1 use in providing returns to cryptocurrency investors. He disclosed that the Treasury assets were
 2 kept in the following wallets:

- 3 • 0x898137400867603e6d713cbd40881dd0c79e47cb;
- 4 • 0xf02d9f19060ee2dd50047dc6e1e9ebac9ba436fe;
- 5 • 0x784cf4b62655486b405eb76731885cc9ed56f42f;
- 6 • 0xe497285e466227f4e8648209e34b465daa1f90a0; and
- 7 • 0x9030d5c596d636eefc8f0ad7b2788ae7e9ef3d46.

8
 9 28. He also wrote on the “Tokenomics” page on the website that promoted the OVN
 10 tokens that, “the revenue generated from seeding liquidity and insurance staking [his investment
 11 activities with investor funds] would be included into the protocol’s revenue [the Treasury] and
 12 treated as such.” An archived version of this webpage is available here:

13 [https://web.archive.org/web/20231210230214/https://docs.overnight.fi/governance/ovn-](https://web.archive.org/web/20231210230214/https://docs.overnight.fi/governance/ovn-token/overnight-tokenomics)
 14 [token/overnight-tokenomics](https://web.archive.org/web/20231210230214/https://docs.overnight.fi/governance/ovn-token/overnight-tokenomics)
 15

16 **IV. Ermilov Sold OVN Tokens in California**

17 29. Ermilov focused his efforts to sell OVN tokens in California. Upon information
 18 and belief, he executed an agreement in December 2021 with Hack VC Management LLC
 19 (“Hack VC”), a venture capital firm headquartered in Palo Alto, California, to develop and
 20 promote OVN tokens. Pursuant to that agreement, Hack VC was the lead investor in an
 21 \$850,000 capital raise for the development and marketing of the OVN tokens.
 22

23 30. Additionally, Ermilov appeared on at least one podcast in May 2022, and one live
 24 event in or about May 2024, organized by Hack VC to promise the sale of OVN tokens.

25 **V. The Named Plaintiffs Own Approximately 55,000 OVN Tokens**

26 31. The Named Plaintiffs together own approximately 55,000 OVN tokens, which is
 27 more than 5.5% of all existing OVN tokens. The Fund owns approximately 30,000 OVN
 28

1 tokens. Patagon owns approximately 22,000 OVN tokens. Scallion owns approximately 3,700
2 OVN tokens.

3 32. The Plaintiffs purchased their OVN tokens directly from a system that Ermilov
4 created for the sale of OVN tokens. Specifically, Ermilov created a piece of software called a
5 smart contract on each of the Base and Optimism blockchains on September 19 and 20, 2023,
6 with the addresses 0x61366A4e6b1DB1b85DD701f2f4BFa275EF271197 and
7 0x844d7d2fca6786be7de6721aabdff6957ace73a0, respectively. Ermilov deposited
8 approximately 23,000 OVN tokens into the two smart contracts. A smart contract is a computer
9 program stored in code on the blockchain that can also hold cryptocurrency. Investors use the
10 smart contract to purchase OVN tokens.
11

12 **VI. Ermilov Breached the Agreement and Stole Treasury Assets**

13
14 33. The Plaintiffs as a class own the vast majority of OVN tokens. The pro rata share
15 of the OVN Treasury that those tokens represent exceeds \$5 million. Some class members
16 participated in a vote this month to distribute the Treasury assets (the “Proposal”). The voting
17 window on the Proposal opened on May 4, 2026. The vote reached a quorum on May 11, 2026
18 at 6:38 am Pacific Time, when OVN token holders who hold a majority of the total supply of
19 OVN tokens voted on the Proposal. As of this filing, the vote is unanimously in favor of the
20 Proposal. Thus, the Proposal will be successful, even though the voting window remains open
21 until June 3, 2026. By early morning on May 11, 2026, Pacific Time, more than half of the
22 outstanding amount of OVN tokens had voted in favor of a proposition to liquidate the POL and
23 distribute to OVN tokenholders, with no tokens voting against.
24

25 34. In response to the vote, Ermilov repudiated his previous representations that the
26 OVN tokenholders could vote to distribute the POL to themselves on a pro rata basis. Just
27 before the vote crossed the 50% threshold on May 11, 2026, someone withdrew Treasury assets.
28 Upon information and belief, it was Ermilov who transferred Treasury assets transfers to put

1 them out of reach of the OVN tokenholders who had voted to distribute them. In all, Ermilov
2 moved over \$15.77 million in assets out of the Treasury wallets into a newly created wallet (the
3 “New Wallet”) at the following address: 0xf7fcc767de537953b3519d4b3097a24a6dfe1c84.
4 These assets include roughly 12.5 million USDC tokens, 91,000 USDT tokens, 20.32 WETH
5 tokens, and 15.81 wrapped BTC tokens.
6

7 35. Of these assets, roughly \$14 million worth were bridged to the Ethereum
8 blockchain, and the vast majority of those assets were deposited in three separate smart contracts
9 deployed and managed by the Zama protocol, which were designed to enhance secrecy and
10 allow for confidential transfers to other wallets. One of these Zama smart contracts (the “Zama
11 Wallet”) received a deposit of approximately 12.5 million USDC tokens from the New Wallet.
12 The Zama Wallet has the following address on the Ethereum blockchain:
13 0xe978F22157048E5DB8E5d07971376e86671672B2.
14

15 36. Upon information and belief, Ermilov is responsible for these transfers, and
16 controls the New Wallet.

17 37. The value of the OVN tokens held by the Plaintiffs has fallen substantially
18 because the tokens used to reflect the pro rata ownership of a large Treasury, but after Ermilov
19 stole from the Treasury, the tokens reflect a pro rata ownership of a much smaller Treasury.

20 38. Ermilov acknowledged his misconduct. Ermilov wrote in a May 14, 2026,
21 Discord post that, “a group of people took control of 50+% of OVNs, so they control the
22 protocol now.” In the same post, he admitted that he “told [investors] to get to 51%” to “drive
23 the price [of OVN tokens] up to 7-10 USD.” But now that investors had done so, Ermilov stated
24 that investors are not entitled to the Treasury assets.
25

26 39. Even though Ermilov deposited the Treasury’s USDC tokens in the Zama Wallet,
27 Circle can freeze them. This is because Circle “has the ability to block individual addresses
28

1 from sending and receiving” USDC and will do so to comply with a court order, pursuant to its
2 blacklisting policy.

3 **VII. Class Allegations**

4 40. The Fund brings this action as a class action, pursuant to Fed. R. Civ. P. 23, on
5 behalf of itself and all other holders of OVN tokens (the “Class”). Excluded from the Class is
6 Ermilov and any of his co-conspirators yet to be discovered.

8 41. This action satisfies the requirements of Fed. R. Civ. P. 23 and is properly
9 maintained as a class action.

10 42. The proposed Class is so numerous that joinder of all members is impracticable
11 and the disposition of their claims in a class action will provide substantial benefits to the parties
12 and the Court. Likely hundreds of people and entities hold OVN tokens in over 20,000 wallets
13 on the Base blockchain alone.

14 43. There are questions of law and fact that are common to the Class and which
15 predominate over questions affecting any individual Class member. The damages sustained by
16 the Plaintiffs flow from the common nucleus of operative facts surrounding Ermilov’s theft of
17 the Treasury. The common questions of law and fact include, without limitation:
18

- 19 a. Whether an agreement existed between Ermilov and OVN tokenholders;
20 b. Whether Ermilov’s refusal to permit tokenholders to redeem Treasury assets
21 breached that agreement; and
22 c. The identity of the Treasury assets to which OVN tokenholders are entitled.
23

24 44. The Fund’s claims are typical of the claims of the Class since each Class member
25 suffers the same reduction in value of their OVN tokens as a result of Ermilov’s theft. Equitable
26 relief is necessary for the Fund and for all Class members to address the injury they sustained
27 arising from Ermilov’s theft of the Treasury. The Fund is advancing the same claims and legal
28 theories on behalf of itself and all similarly situated Class members.

1 45. The Fund has no relevant interests adverse or antagonistic to the interests of other
2 members of the Class.

3 46. The Fund will fairly and adequately represent and protect the interests of the Class
4 and have retained experienced counsel who is qualified to pursue this litigation and who is
5 competent in the prosecution of class action litigation.
6

7 47. A class action is superior to other methods for the fair and efficient adjudication
8 of the claims asserted herein. The Fund does not anticipate that unusual difficulties will be
9 encountered in the management of this class action.

10 48. A class action will permit a large number of similarly situated people and entities
11 to prosecute their common claims in a single forum, simultaneously, efficiently, and without
12 the duplication of effort and expense that numerous individual actions would engender, or the
13 inconsistency in results that might occur if the claims were litigated independently.
14

15 49. By refusing to recognize the contract rights held by OVN holders, Ermilov is
16 acting on grounds generally applicable to the entire Class, thereby making Class-wide relief
17 appropriate.

18 **COUNT I: FRAUDULENT TRANSFER PURSUANT TO SECTION 3439.04**
19 **OF THE CALIFORNIA UNIFORM VOIDABLE TRANSFERS ACT**
20 **AGAINST ERMILOV**

21 50. The Plaintiffs hereby restate and incorporate by reference the allegations in the
22 preceding paragraphs as though fully set forth herein.

23 51. Ermilov transferred assets away from the Treasury to separate wallets he
24 controlled.

25 52. Ermilov transferred the Treasury assets with the intent to hinder, delay, or defraud
26 the Plaintiffs. His intent is apparent because Ermilov transferred substantially all Treasury
27 assets away from wallets controlled by the Overnight Finance protocol to wallets controlled by
28 him alone, deposited the assets in Zama smart contracts designed for confidential transfers,

1 controls the Treasury assets in the Zama smart contracts, and moved the assets mere hours
2 before a vote on the Proposal reached a quorum.

3 WHEREFORE, the Class seeks a judgment against Ermilov awarding the Plaintiffs their
4 expectation damages, including pre- and post-judgment interest. It also seeks a declaration that
5 this action is properly maintained as a class action, certifying the Named Plaintiffs as Class
6 representatives, and appointing William Newman Lawyer PLLC as Class counsel. And it seeks
7 such other and further relief as the Court deems just.
8

9 **COUNT II: BREACH OF CONTRACT**
10 **AGAINST ERMILOV**

11 53. The Plaintiffs hereby restate and incorporate by reference the allegations in the
12 preceding paragraphs as though fully set forth herein.

13 54. Ermilov entered into an agreement with tokenholders like the Plaintiffs, whose
14 terms he published in promotional materials online. Pursuant to that agreement, Ermilov offered
15 to sell OVN tokens. In exchange, he promised that purchasers of those tokens would obtain,
16 among other things, a pro rata portion of the Treasury and also revenue from OVN transaction
17 fees.
18

19 55. The Plaintiffs complied with their contract obligations.

20 56. Ermilov breached the agreement. He did not confer pro rata ownership over
21 Treasury assets and, instead, absconded with Treasury assets.

22 57. As a proximate cause of Ermilov's breach, the Plaintiffs suffered damages. They
23 have failed to receive the benefit of their investment, which is far less valuable than Ermilov
24 had advertised.
25

26 WHEREFORE, the Class seeks a judgment against Ermilov awarding the Plaintiffs their
27 expectation damages, including pre- and post-judgment interest. It also seeks a declaration that
28 this action is properly maintained as a class action, certifying the Named Plaintiffs as Class

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2 such other and further relief as the Court deems just.
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1 Dated: Palo Alto, California
2 May 28, 2026

3 **PIERSON FERDINAND LLP**

4 /s/ Matthew H. Weiner

5

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